Punchlist
Real Estate, LLC

PUNCHLIST CAPITAL · DEVELOPMENT SUMMARY

Harbor Point Residences

Stamford, CT · Multifamily · 120 units · 132,000 SF

DEVELOPMENT | 24-MONTH CONSTRUCTION | STABILISED MONTH 43 | BASE CASE | CLOSING 1/1/2027

CREDIT GATE
CONDITIONAL

LEVERED IRR	EQUITY MULTIPLE	TOTAL PROJECT COST	EQUITY REQUIREMENT
33.09%	**2.71x**	**$44.64M**	**$16.57M**
hurdle 12.00%	$28.69M profit	$372,009 per unit	$28.07M construction loan

Prepared November 4, 2026

DASHBOARD

LEVERED IRR	EQUITY MULTIPLE	NET LP IRR	YIELD ON COST
33.09%	**2.71x**	**26.77%**	**8.91%**
Base case	$28.69M profit	after promote	stabilised NOI $3.56M

DEVELOPMENT SPREAD	PROJECT COST	STABILISED VALUE	CONSTRUCTION LOAN
330 bps	**$44.64M**	**$72.08M**	**$28.07M**
over exit cap · policy 150	$39.95M before financing	at 5.00% exit cap	63.00% of cost · 7.25%

Levered return against the hurdle



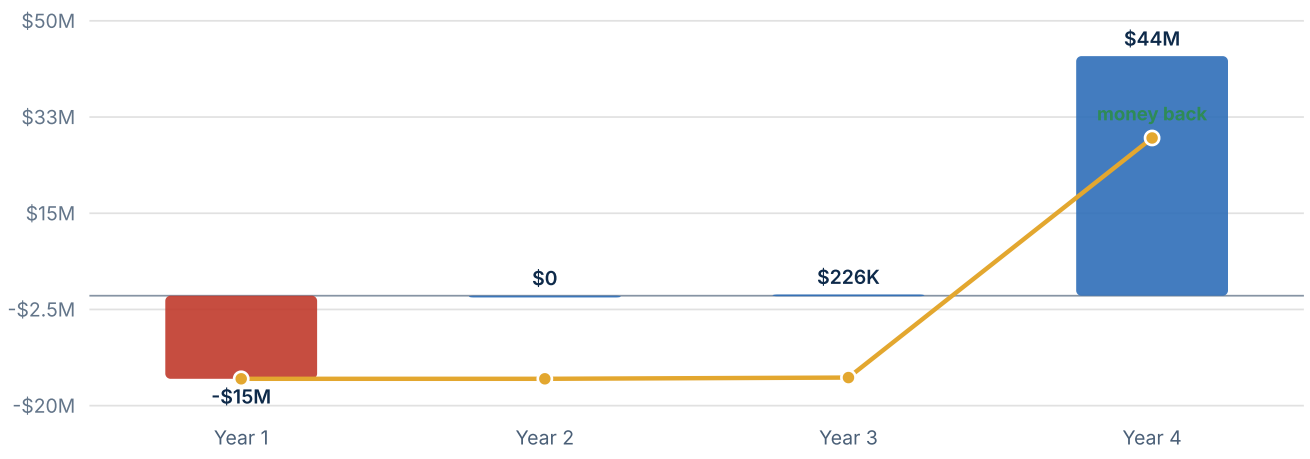
Equity of **$16.57M** builds a 120-unit project for **$44.64M** all-in and returns **$45.47M** over 4 years: **2.71x** and a **33.09%** levered IRR, **21.1 points above** the 12.00% hurdle.

Stabilised NOI of **$3.56M** gives a **8.91%** yield on cost, **391 bps** over the 5.00% exit cap (policy minimum 150 bps).

Operations return about **6.00%** of what equity gets back; the sale and refinancing return **94.00%**. There is no permanent takeout: the **$28.07M** construction loan stays outstanding after stabilisation and is repaid from the sale proceeds at month 48.

Equity cash flow

Each year's cash to equity; the line is the running total. Equity is funded through construction and lease-up, then returned from operations, the takeout and the sale.



BUDGET AND FUNDING

SOURCES	AMOUNT	%
Construction loan - draws	$24,881,163	55.74%
Construction loan - interest capitalised	$3,185,837	7.14%
Equity	$16,574,091	37.13%
Total sources	**$44,641,091**	**100.00%**

Equity requirement includes any overflow beyond planned equity. Returns are measured on cash actually contributed, net of lease-up income ($16.78M).

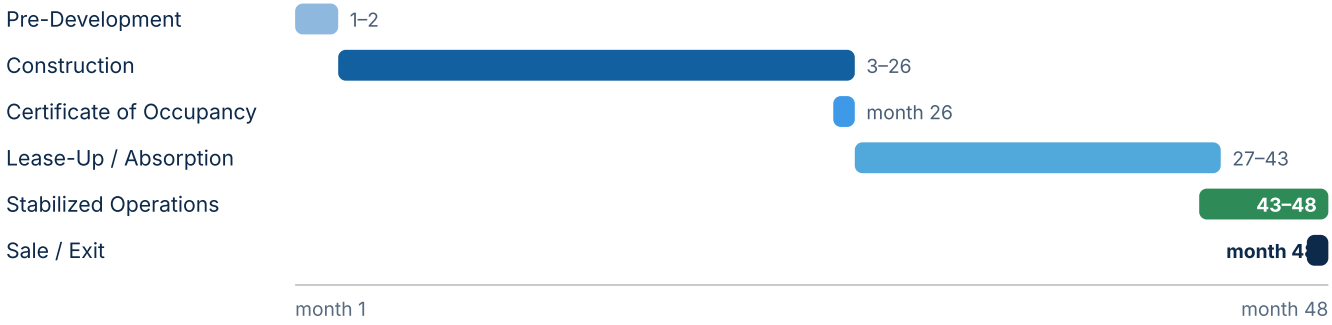
USES	AMOUNT	%
Land	$7,000,000	15.68%
Closing costs	$250,000	0.56%
Pre-development	$750,000	1.68%
Hard costs	$26,950,000	60.37%
Soft costs	$5,000,000	11.20%
Capitalised interest	$3,185,837	7.14%
Interest paid by equity beyond the loan commitment	$1,224,583	2.74%
Loan fees	$280,670	0.63%
Total project cost	**$44,641,091**	**100.00%**



Land 16.00% · Closing costs 1.00% · Pre-development 2.00% · Hard costs 60.00% · Soft costs 11.00% · Capitalised interest 7.00% · Interest paid by equity beyond the loan commitment 3.00% · Loan fees 1.00%

Development timeline

Month numbers from closing.



DEBT AT SALE

Permanent loan	None
Construction loan after stabilisation	Stays outstanding; interest paid currently at 7.25%
Repaid from sale proceeds at month 48	$28.07M
Debt at sale	$28.07M

CONSTRUCTION FUNDING

Loan

Commitment	$28,067,000
Rate	7.25%
Drawn	$24,881,163
Interest capitalised	$3,185,837
Balance at takeout	$28,067,000

Equity

Planned	$15,114,213
Over plan	$1,459,877
Total	$16,574,091
Share of cost	38.17%

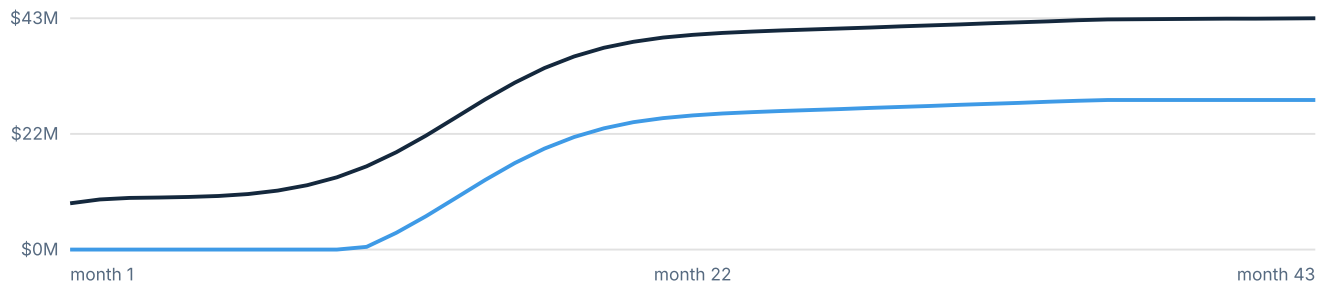
Timeline

Pre-development	2 months
Construction	24 months
Completion	month 26
Lease-up	17 months
Stabilised	month 43

$ THOUSANDS	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Q11	Q12	Q13	Q14	Q15	TOTAL
Phase · months	Pre-d… 1–3	Constr. 4–6	Constr. 7–9	Constr. 10–12	Constr. 13–15	Constr. 16–18	Constr. 19–21	Constr. 22–24	Constr. 25–27	Lease… 28–30	Lease… 31–33	Lease… 34–36	Lease… 37–39	Lease… 40–42	Lease… 43–43	
COSTS																
Land and closing	8,000	–	–	–	–	–	–	–	–	–	–	–	–	–	–	8,000
Hard costs	12	247	1,687	5,594	9,030	7,107	2,725	508	41	–	–	–	–	–	–	26,9…
Soft costs and fees	1,415	116	317	595	766	675	408	169	68	88	88	88	88	88	29	5,000
Financing fees	281	–	–	–	–	–	–	–	–	–	–	–	–	–	–	281
Total costs	**9,707**	**362**	**2,004**	**6,189**	**9,796**	**7,783**	**3,133**	**676**	**110**	**88**	**88**	**88**	**88**	**88**	**29**	**40,2…**
FUNDED BY																
Equity	9,707	362	2,004	3,041	–	–	–	–	–	–	–	–	–	–	–	15,1…
Equity over plan	–	–	–	–	–	–	–	–	–	–	–	29	88	88	29	235
Construction loan draws	–	–	–	3,148	9,796	7,783	3,133	676	110	88	88	59	–	–	–	24,8…
Total sources	**9,707**	**362**	**2,004**	**6,189**	**9,796**	**7,783**	**3,133**	**676**	**110**	**88**	**88**	**88**	**88**	**88**	**29**	**40,2…**
CONSTRUCTION LOAN																
Beginning balance	–	–	–	–	3,151	13,0…	21,1…	24,6…	25,8…	26,3…	26,9…	27,5…	28,0…	28,0…	28,0…	
Draws	–	–	–	3,148	9,796	7,783	3,133	676	110	88	88	59	–	–	–	24,8…
Interest capitalised	–	–	–	3	115	292	410	456	471	482	492	465	–	–	–	3,186
Ending balance	**–**	**–**	**–**	**3,151**	**13,0…**	**21,1…**	**24,6…**	**25,8…**	**26,3…**	**26,9…**	**27,5…**	**28,0…**	**28,0…**	**28,0…**	**28,0…**	**28,0…**
Interest over commitment (cash)	–	–	–	–	–	–	–	–	–	–	–	38	509	509	170	1,225
Loan to cost (incl. interest)	0.00%	0.00%	0.00%	17.2…	46.3…	58.3…	62.0…	63.0…	63.5…	64.0…	64.5…	64.9…	64.8…	64.6…	64.6…	64.6…
Cumulative cost	9,707	10,0…	12,0…	18,2…	28,0…	35,8…	38,9…	39,6…	39,7…	39,8…	39,9…	40,0…	40,1…	40,2…	40,2…	40,2…

Cost to date and loan balance

Cumulative cost including capitalised interest (dark) and the construction loan balance (blue), by month from closing.



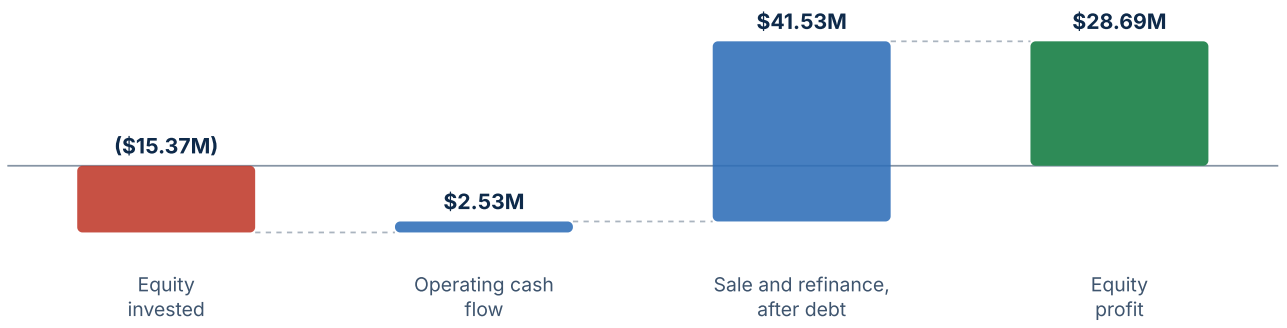
Figures in thousands of dollars. Each quarter's costs are funded by equity first, then the construction loan; interest is capitalised into the loan up to the commitment. Every figure is the funding engine's monthly schedule rolled up by quarter, through stabilisation.

PERFORMANCE AND SENSITIVITY

ANNUAL CASH FLOW	YEAR 1	YEAR 2	YEAR 3	YEAR 4
Net operating income	–	–	293,031	3,086,492
Debt service	–	–	–	(847,857)
Asset management fee	–	–	–	–
Costs, takeout, sale and other	(15,114,213)	–	(66,995)	41,340,412
Net cash flow to equity	**(15,114,213)**	**–**	**226,036**	**43,579,048**
Cumulative	**(15,114,213)**	**(15,114,213)**	**(14,888,178)**	**28,690,870**

Where the profit comes from

Equity in, operating cash flow, then takeout and sale proceeds net of the loan.



Return sensitivity

Levered IRR as exit cap and rent growth move.

	4.50%	4.75%	5.00%	5.25%	5.50%
2.00%	38.80%	35.74%	32.81%	29.99%	27.27%
2.50%	38.94%	35.88%	32.95%	30.13%	27.42%
3.00%	39.08%	36.02%	**33.09%**	30.28%	27.57%
3.50%	39.22%	36.16%	33.24%	30.42%	27.71%
4.00%	39.36%	36.30%	33.38%	30.57%	27.86%

Levered IRR. Columns: exit cap rate. Rows: annual rent growth. Green meets the 12.00% hurdle, red is furthest below it. Outlined cell is the base case.

KEY ASSUMPTIONS

Land	$7.00M
Hard costs	$26.95M ($224,583/unit)
Soft costs	$5.00M
Construction	24 months
Lease-up	17 months
Exit cap rate	5.00%
Rent growth	3.00% / yr
Hold	4 years

DISTRIBUTION WATERFALL

EQUITY	%	AMOUNT
LP	90.00%	$15,104,211
GP (sponsor)	10.00%	$1,678,246
Total equity	**100.00%**	**$16,782,457**

PROMOTE	HURDLE	LP	GP
Tier 1	8.00% pref	90.00%	10.00%
Catch-up	20.00% of profit	0.00%	100.00%
Tier 2	12.00% IRR	80.00%	20.00%
Tier 3	18.00% IRR	70.00%	30.00%
Tier 4	above	60.00%	40.00%

RESULTS	LP	GP
Contributed	$15,104,211	$1,678,246
Distributed	$34,353,075	$11,120,252
Profit	$19,248,864	$9,442,006
Return of capital	$15,104,211	$1,678,246
Preferred return	$4,479,746	$497,750
Excess cash flow	$14,769,118	$2,371,337
Promote	—	$6,572,919
IRR	26.77%	69.76%
Equity multiple	2.27x	6.63x
GP promote		**$6,572,919**

WATERFALL	CLOSE	YEAR 1	YEAR 2	YEAR 3	YEAR 4
Cash flow available for distribution	**($8,700,000)**	**($6,414,213)**	**–**	**$226,036**	**$43,579,048**
TIER 1 · RETURN OF CAPITAL + 8.00% PREFERRED RETURN					
Beginning balance	–	$7,830,000	$14,369,998	$15,522,871	$16,567,398
Preferred return accrued	–	$805,006	$1,149,611	$1,249,318	$1,319,658
Contributions	$7,830,000	$5,772,792	–	$247,825	$1,253,594
Distributions applied	–	($37,800)	$3,261	($452,616)	($19,140,650)
Ending balance	**$7,830,000**	**$14,369,998**	**$15,522,871**	**$16,567,398**	**–**
Distributed to LP (90.00%)	–	–	–	$451,257	$19,132,701
Distributed to GP (10.00%)	–	–	–	$50,140	$2,125,856
GP CATCH-UP · TO 20.00% OF PROFIT					
Distributed to GP (100.00%)	–	–	–	–	$1,244,374
TIER 2 · TO 12.00% IRR					
Beginning balance	–	$7,830,000	$14,751,632	$16,526,959	$18,315,986
Return accrued at 12.00% IRR	–	$1,204,500	$1,770,223	$1,994,282	$2,189,173
Contributions	$7,830,000	$5,772,792	–	$247,825	$1,253,594
Distributions applied	–	($55,660)	$5,103	($453,079)	($21,758,754)
Ending balance	**$7,830,000**	**$14,751,632**	**$16,526,959**	**$18,315,986**	**–**
Distributed to LP (80.00%)	–	–	–	–	$2,614,542
Distributed to GP (20.00%)	–	–	–	–	$653,636
TIER 3 · TO 18.00% IRR					
Beginning balance	–	$7,830,000	$15,321,832	$18,087,962	$21,154,265
Return accrued at 18.00% IRR	–	$1,800,320	$2,757,997	$3,271,944	$3,794,234
Contributions	$7,830,000	$5,772,792	–	$247,825	$1,253,594
Distributions applied	–	($81,280)	$8,133	($453,467)	($26,202,093)
Ending balance	**$7,830,000**	**$15,321,832**	**$18,087,962**	**$21,154,265**	**–**
Distributed to LP (70.00%)	–	–	–	–	$4,438,574
Distributed to GP (30.00%)	–	–	–	–	$1,902,246
TIER 4 · ABOVE 18.00% IRR					
Distributed to LP (60.00%)	–	–	–	–	$7,716,001
Distributed to GP (40.00%)	–	–	–	–	$5,144,001
PARTNER CASH FLOWS					
LP cash flow	**($7,830,000)**	**($5,772,792)**	**–**	**$203,432**	**$32,648,224**
GP cash flow	**($870,000)**	**($641,421)**	**–**	**$22,604**	**$10,930,824**
GP promote (above its 10.00% pro rata share)	–	–	–	–	$6,572,919

Hurdle accounts accrue monthly at each hurdle rate on the LP's own contributions and are reduced only by what the LP receives, so a tier opens once the LP has reached that return. Close is the equity contributed at closing. Every figure is the engine's monthly waterfall rolled up by year.

CREDIT DECISION

CREDIT GATE	DEAL	POLICY	RESULT
Gross levered IRR (property) (hard)	33.09%	>= 12.00%	PASS
Net LP IRR (after promote) (hard)	26.77%	>= 12.00%	PASS
Net LP equity multiple	2.27x	>= 2.00x	PASS
High or critical risks	0	<= 2	PASS
Development spread (bps, development only) (hard)	330.07	>= 150	PASS

Decision: CONDITIONAL

CONDITIONAL — 2 MODEL WARNINGS

> **Model warning:** Interest accrues beyond the loan commitment — $1,224,583 of interest accrues after the commitment is full and is paid by equity. Either the commitment is too small for the plan or the interest reserve is short.

> **Model warning:** Costs exceed what equity plus the commitment can fund — $235,294 of costs are funded by equity over the planned amount ($15,114,213).

> Model integrity: 0 failed, 2 warnings, 21 passed, 0 not applicable.

Next step: The credit gates pass, but 2 model warnings stand: Interest accrues beyond the loan commitment; Costs exceed what equity plus the commitment can fund. Approval is conditional on resolving or accepting them.

DELAY AND EXIT STRESS

STRESS TEST	LEVERED IRR	MULTIPLE	PROFIT	VS HURDLE
Base case	**33.09%**	**2.71x**	**$28.69M**	MEETS
Construction 6 months longer	31.58%	2.60x	$26.60M	MEETS
Lease-up 6 months slower	31.19%	2.54x	$26.67M	MEETS
Exit cap 50 bps higher	27.57%	2.33x	$22.25M	MEETS
Rent growth 1 point lower	32.81%	2.69x	$28.34M	MEETS
Delays and exit cap together	18.52%	1.79x	$13.25M	MEETS

Each row reruns the full model with the change shown. Cost-overrun stress is not shown: with the budget set from a source total, hard-cost changes are absorbed in the calibration.

ABOUT THIS SUMMARY

Prepared November 4, 2026 from the Punchlist Capital underwriting model (beta). Every figure is read from the live model for the Base case; the sensitivity grid and stress tests rerun the model. Development returns depend heavily on cost, schedule and exit assumptions. This summary is an analytical aid, not an offer or a fairness opinion. Check it against your own model before relying on it.